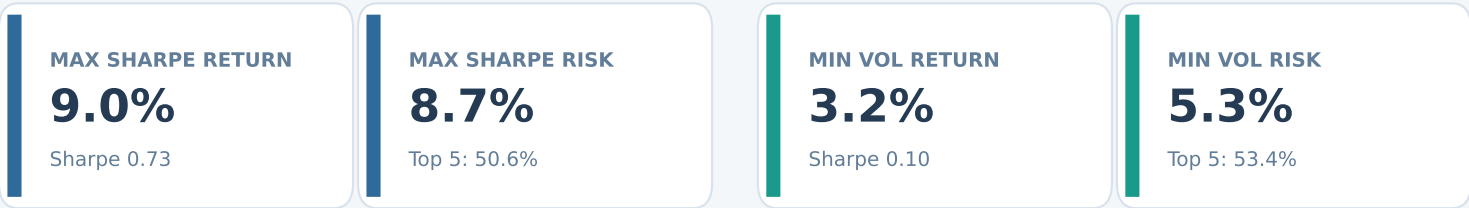
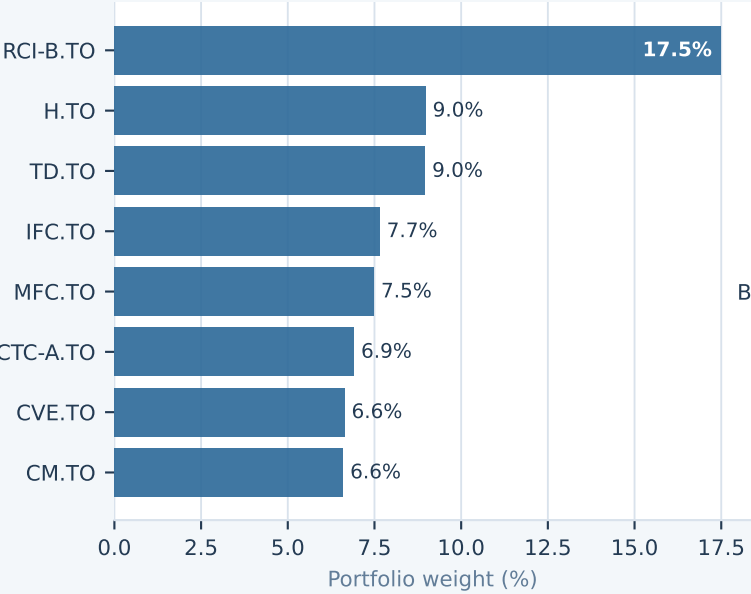


Portfolio Summary

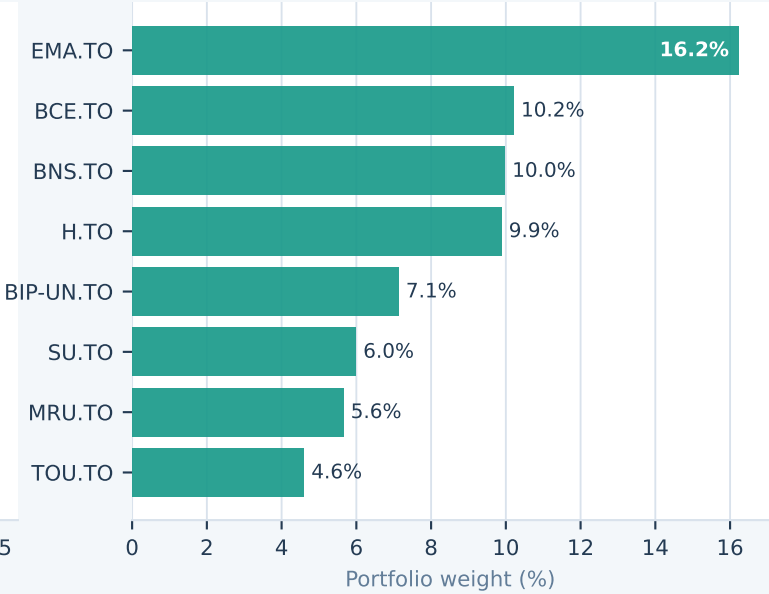
TSX 60 allocation model | Training: 2025-06-11 to 2026-06-10



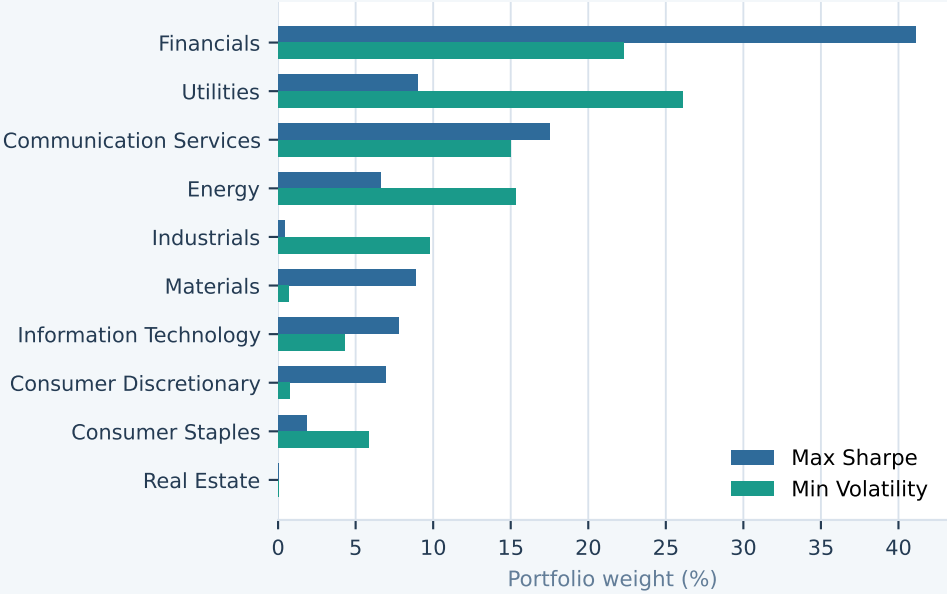
Top 8 holdings



Top 8 holdings



Sector exposure



PORTFOLIO CHARACTER

- Max Sharpe

Dominant sector: Financials (41.1%)
- Min Volatility

Dominant sector: Utilities (26.1%)
- Diversification

Effective holdings: 11.8 vs. 12.8
- Common exposure

Weight overlap: 86.7%

Expected returns are Black-Litterman posterior estimates. Volatility and Sharpe metrics are annualized in-sample estimates. Portfolio weights are long-only and sum to 100%.

Maximum Sharpe Portfolio

Allocation breakdown, concentration, and sector structure

EXPECTED RETURN

9.0%

Annualized

VOLATILITY

8.7%

Annualized

SHARPE RATIO

0.73

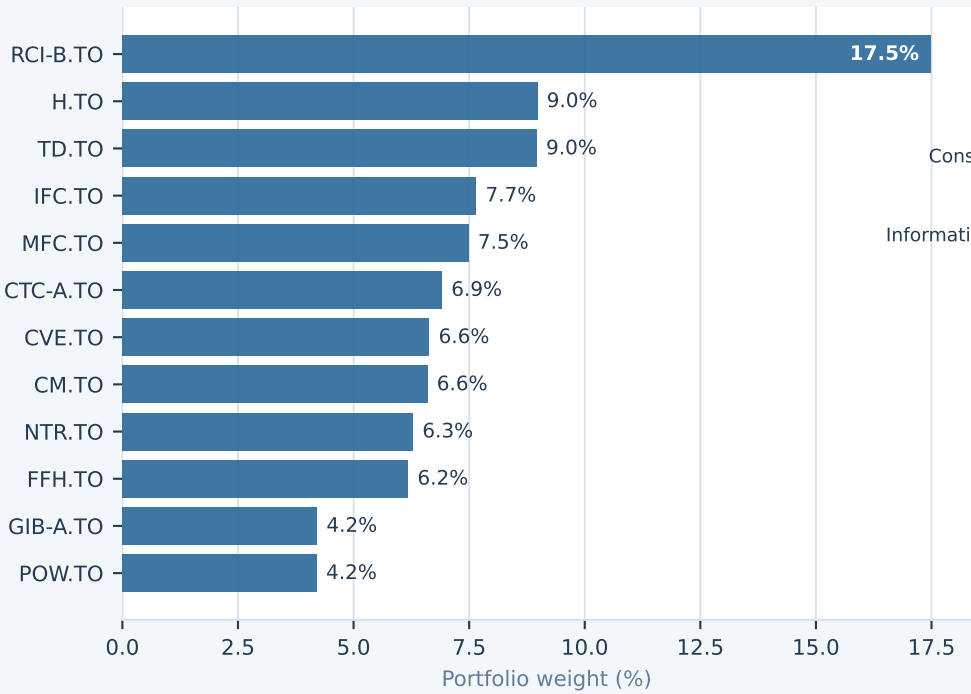
Risk-free adjusted

ACTIVE POSITIONS

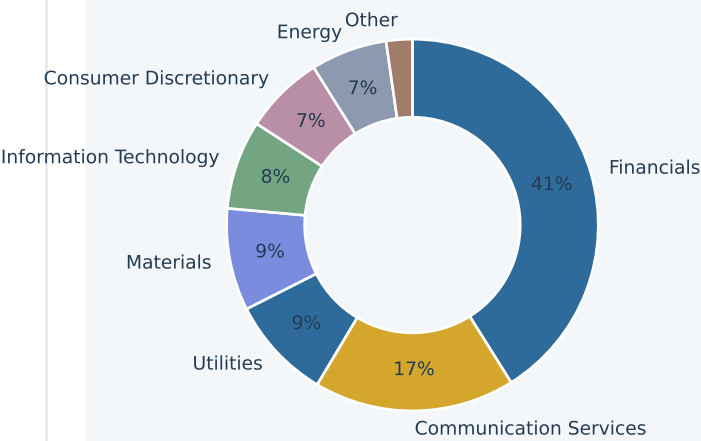
17

Effective: 11.8

Top 12 holdings



Sector mix



TOP EIGHT HOLDINGS

Ticker	Weight	Sector	Posterior	Confidence	Rank
RCI-B.TO	17.48%	Communication Services	12.5%	79%	#1
H.TO	8.98%	Utilities	3.7%	77%	#2
TD.TO	8.96%	Financials	7.2%	73%	#3
IFC.TO	7.65%	Financials	8.8%	80%	#4
MFC.TO	7.49%	Financials	9.4%	74%	#5
CTC-A.TO	6.91%	Consumer Discretionary	8.6%	76%	#6
CVE.TO	6.64%	Energy	8.1%	77%	#7
CM.TO	6.60%	Financials	8.0%	75%	#8

Maximum Sharpe: Holding Rationale

Research views for top holdings 1-4; weights also reflect covariance and portfolio constraints

#1 RCI-B.TO

17.48% weight | Communication Services | Posterior 12.5%

Rogers looks undervalued on 4.1x P/E and 8.3x EV/EBITDA while producing \$6.76B of FCF, and recent network-quality leadership and content investment support a steadier operating narrative. The primary upside driver is multiple normalization as investors recognize durable wireless/cable cash flows; the primary risk is the very high 184.2% debt/equity, which keeps balance-sheet sensitivity elevated.

#2 H.TO

8.98% weight | Utilities | Posterior 3.7%

Hydro One combines low-beta defensiveness with visible growth from Ontario transmission projects and management reaffirmed its longer-term earnings growth outlook after a Q1 beat. The primary upside driver is expanding transmission capex tied to rising electricity demand in Ontario, while the primary risk is that a 24.64x P/E and 16.3x EV/EBITDA already discount much of that stability, with negative FCF of \$-1.41B and a CEO transition adding some execution risk.

#3 TD.TO

8.96% weight | Financials | Posterior 7.2%

TD's near-term earnings profile is clouded by a 61.2% EPS decline YoY, but the franchise remains solid and recent price-target increases plus top-ranked mobile app satisfaction suggest confidence in normalization. The primary upside driver is earnings recovery from a depressed base alongside still-reasonable 2.2x book valuation; the primary risk is that recovery takes longer than the market expects, keeping returns muted.

#4 IFC.TO

7.65% weight | Financials | Posterior 8.8%

Intact remains fundamentally strong with 17.2% ROE, 11.7% EPS growth, low leverage at 23.33 debt/equity, and \$4.33B of FCF, while the A+ AM Best affirmation reinforces balance-sheet quality. The primary upside driver is continued underwriting and capital strength supporting earnings compounding, but the primary risk is valuation becoming less compelling at 15.04x earnings and potential uncertainty around inorganic expansion such as the reported Hiscox interest.

Maximum Sharpe: Holding Rationale

Research views for top holdings 5-8; weights also reflect covariance and portfolio constraints

#5 MFC.TO

7.49% weight | Financials | Posterior 9.4%

Manulife offers a balanced setup at 15.78x earnings and 1.87x book with \$5.45B of FCF, 12.6% ROE, and very strong 161.6% EPS growth, while recent AI and ecosystem partnerships in Asia add some strategic optionality. The primary upside driver is continued earnings growth and capital generation, particularly if digital initiatives improve distribution and operating efficiency, while the primary risk is that some of the earnings surge may prove hard to sustain and macro-sensitive insurance markets remain volatile.

#6 CTC-A.TO

6.91% weight | Consumer Discretionary | Posterior 8.6%

Canadian Tire looks more balanced positively than the share weakness implies: 14.83x P/E, 1.62x P/B, strong \$1.84B FCF and 202.6% YoY EPS growth, while Q1 came in ahead of plan despite weather-related sales softness. Primary upside is operating discipline and normalization of seasonal demand; primary risk is that consumer and weather headwinds, plus high leverage at 159.24 debt/equity, could cap rerating.

#7 CVE.TO

6.64% weight | Energy | Posterior 8.1%

Cenovus offers one of the stronger risk/reward setups with 7.99x EV/EBITDA, 15.78x P/E, 78.0% YoY EPS growth and \$3.67B of FCF, while news flow points to MEG integration synergies and production/cash-flow growth projects. Primary upside is synergy realization and higher production driving free cash flow; primary risk is sensitivity to oil-price volatility despite the improved operating backdrop.

#8 CM.TO

6.60% weight | Financials | Posterior 8.0%

CIBC shows the strongest operating profile among the large-bank set here, with 15.4% ROE, 24.0% EPS growth, and only 15.24x P/E despite a solid domestic macro backdrop in recent data. Primary upside driver is continued earnings delivery and dividend support if Canadian credit stays resilient; primary risk is that its domestic concentration leaves it exposed if the economy or housing-related credit trends weaken.

Minimum Volatility Portfolio

Allocation breakdown, concentration, and sector structure

EXPECTED RETURN

3.2%

Annualized

VOLATILITY

5.3%

Annualized

SHARPE RATIO

0.10

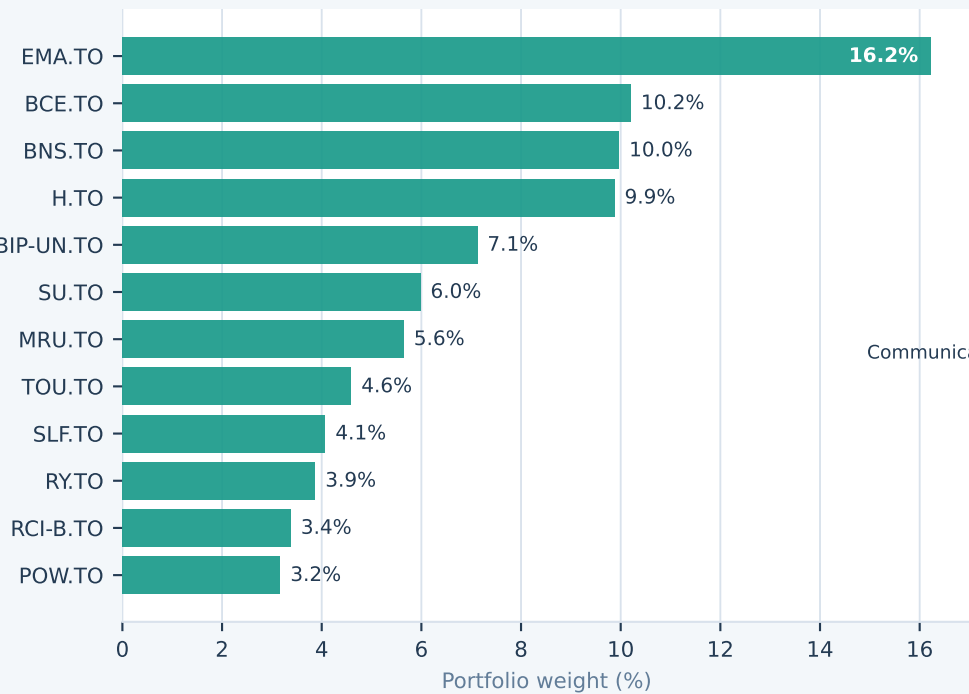
Risk-free adjusted

ACTIVE POSITIONS

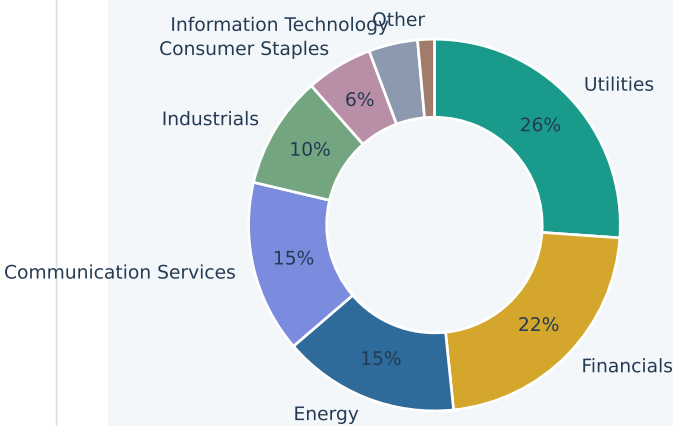
30

Effective: 12.8

Top 12 holdings



Sector mix



TOP EIGHT HOLDINGS

Ticker	Weight	Sector	Posterior	Confidence	Rank
EMA.TO	16.22%	Utilities	2.2%	68%	#1
BCE.TO	10.21%	Communication Services	-0.7%	74%	#2
BNS.TO	9.97%	Financials	6.0%	73%	#3
H.TO	9.88%	Utilities	3.7%	77%	#4
BIP-UN.TO	7.12%	Industrials	1.7%	66%	#5
SU.TO	5.98%	Energy	4.3%	76%	#6
MRU.TO	5.65%	Consumer Staples	3.0%	73%	#7
TOU.TO	4.59%	Energy	0.1%	67%	#8

Minimum Volatility: Holding Rationale

Research views for top holdings 1-4; weights also reflect covariance and portfolio constraints

#1 EMA.TO

16.22% weight | Utilities | Posterior 2.2%

Emera offers a steadier utility profile, with Q1 adjusted EPS up 7% and supportive sell-side commentary, but that is tempered by negative FCF (-\$2.06B), high leverage (168.66 debt/equity) and a stock that has already had a strong run. Primary upside is regulated rate-base growth and defensive earnings; primary risk is financing pressure and limited valuation headroom given only 7.7% ROE and 22.0x earnings.

#2 BCE.TO

10.21% weight | Communication Services | Posterior -0.7%

BCE screens optically cheap at 5.09x P/E and 8.93x EV/EBITDA with \$2.68B of FCF, but leverage is very high at 181.63% debt/equity and EPS is still contracting (-2.9% YoY) as fiber and AI infrastructure spending raise execution stakes. Primary upside driver is that depressed valuation leaves room for rerating if transformation and service growth gain traction; primary risk is balance-sheet pressure and capital intensity limiting equity upside.

#3 BNS.TO

9.97% weight | Financials | Posterior 6.0%

Scotiabank's recent results showed stronger net interest income and net income, and valuation at 15.7x P/E and 1.6x P/B is reasonable relative to 11.0% ROE and 35.4% EPS growth. Primary upside driver is continued earnings recovery and dividend support; primary risk is that a more risk-off macro backdrop or credit deterioration offsets the improving profitability trend.

#4 H.TO

9.88% weight | Utilities | Posterior 3.7%

Hydro One combines low-beta defensiveness with visible growth from Ontario transmission projects and management reaffirmed its longer-term earnings growth outlook after a Q1 beat. The primary upside driver is expanding transmission capex tied to rising electricity demand in Ontario, while the primary risk is that a 24.64x P/E and 16.3x EV/EBITDA already discount much of that stability, with negative FCF of \$-1.41B and a CEO transition adding some execution risk.

Minimum Volatility: Holding Rationale

Research views for top holdings 5-8; weights also reflect covariance and portfolio constraints

#5 BIP-UN.TO 7.12% weight | Industrials | Posterior 1.7%

Brookfield Infrastructure offers defensive contracted assets, but 59.1x P/E, 201.44% debt/equity, and negative FCF of \$1.56B constrain near-term equity returns despite a reasonable 11.84x EV/EBITDA. Primary upside driver is stable cash flows and income support from infrastructure exposure; primary risk is that leverage and funding needs in a higher-rate backdrop cap valuation expansion.

#6 SU.TO 5.98% weight | Energy | Posterior 4.3%

Suncor has solid cash generation with \$6.68B of FCF, a reasonable 7.3x EV/EBITDA, and nearly 30% EPS growth, but recent analyst downgrades suggest much of the operational improvement is now reflected after the rally. The primary upside driver is continued free-cash-flow delivery and shareholder returns if oil markets stay supportive; the primary risk is that valuation upside is capped and earnings remain commodity-sensitive.

#7 MRU.TO 5.65% weight | Consumer Staples | Posterior 3.0%

Metro's Q2 showed higher sales and earnings with support from pharmacy momentum, distribution center productivity, and private-label execution, but the shares still trade near 19.99x earnings and 15.12x EV/EBITDA. The primary upside driver is steady same-store and pharmacy-led execution in a defensive category, while the primary risk is margin pressure from competition and cost inflation, with the CEO retirement adding a modest transition overhang.

#8 TOU.TO 4.59% weight | Energy | Posterior 0.1%

Tourmaline posted a large Q1 earnings beat and EPS growth of 201.8% YoY, but the broader setup is constrained by a rich 35.4x P/E, only 4.5% ROE, and negative FCF of \$1.06B after recent share strength. Primary upside is sustained operational/commodity-driven earnings momentum; primary risk is that a demanding valuation and weak cash conversion leave limited room for disappointment after the rally.

Detailed Allocation Appendix

Positions above 0.01%; values may not sum to exactly 100% because of display rounding

MAX SHARPE

Ticker	Sector	Weight
RCI-B.TO	Communication Services	17.48%
H.TO	Utilities	8.98%
TD.TO	Financials	8.96%
IFC.TO	Financials	7.65%
MFC.TO	Financials	7.49%
CTC-A.TO	Consumer Discretionary	6.91%
CVE.TO	Energy	6.64%
CM.TO	Financials	6.60%
NTR.TO	Materials	6.29%
FFH.TO	Financials	6.18%
GIB-A.TO	Information Technology	4.21%
POW.TO	Financials	4.20%
OTEX.TO	Information Technology	3.53%
K.TO	Materials	2.15%
WN.TO	Consumer Staples	1.84%
ABX.TO	Materials	0.46%
WSP.TO	Industrials	0.43%

MIN VOLATILITY

Ticker	Sector	Weight
EMA.TO	Utilities	16.22%
BCE.TO	Communication Services	10.21%
BNS.TO	Financials	9.97%
H.TO	Utilities	9.88%
BIP-UN.TO	Industrials	7.12%
SU.TO	Energy	5.98%
MRU.TO	Consumer Staples	5.65%
TOU.TO	Energy	4.59%
SLF.TO	Financials	4.07%
RY.TO	Financials	3.87%
RCI-B.TO	Communication Services	3.38%
POW.TO	Financials	3.17%
SHOP.TO	Information Technology	2.25%
PPL.TO	Energy	2.14%
CVE.TO	Energy	1.81%
T.TO	Communication Services	1.41%
TRI.TO	Industrials	1.26%
NA.TO	Financials	1.17%
WSP.TO	Industrials	0.95%
CNQ.TO	Energy	0.82%
CLS.TO	Information Technology	0.79%
CTC-A.TO	Consumer Discretionary	0.75%
GIB-A.TO	Information Technology	0.57%
WCN.TO	Industrials	0.45%
NTR.TO	Materials	0.38%
CSU.TO	Information Technology	0.35%
OTEX.TO	Information Technology	0.30%
CCO.TO	Materials	0.30%
SAP.TO	Consumer Staples	0.16%
QSR.TO	Consumer Discretionary	0.02%